

NATURAL GAS DELIVERY OPTIMIZATION

KUMAR MANTHA · PRATYAKSH MATHUR · VANDIT GOEL

ML forecasting + stochastic linear programming to minimize cash-out penalties across daily injection/withdrawal and end-of-month storage constraints.

DATASET

3,410 days

PERIOD

Aug 2015 - Nov 2024

KEY RESULTS

42.3%

Penalty Cost Reduction

ACTUAL PENALTY

\$532,491

420 violation days

OPTIMISED PENALTY

\$306,978

156 violation days

PENALTY SAVED

\$225,513

across 3 years

VIOLATION REDUCTION

62.9%

264 fewer days

TOTAL COST ACTUAL

\$11,863,466

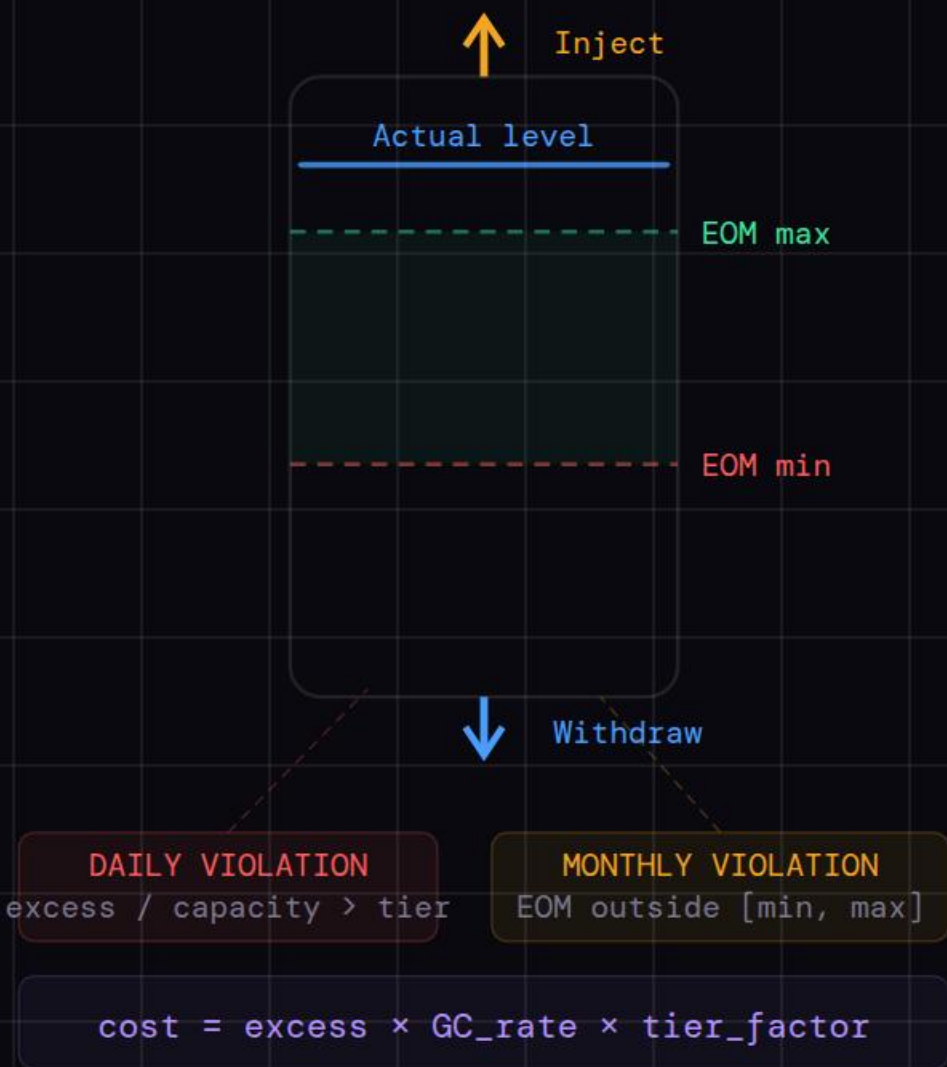
base + penalty

TOTAL COST OPT

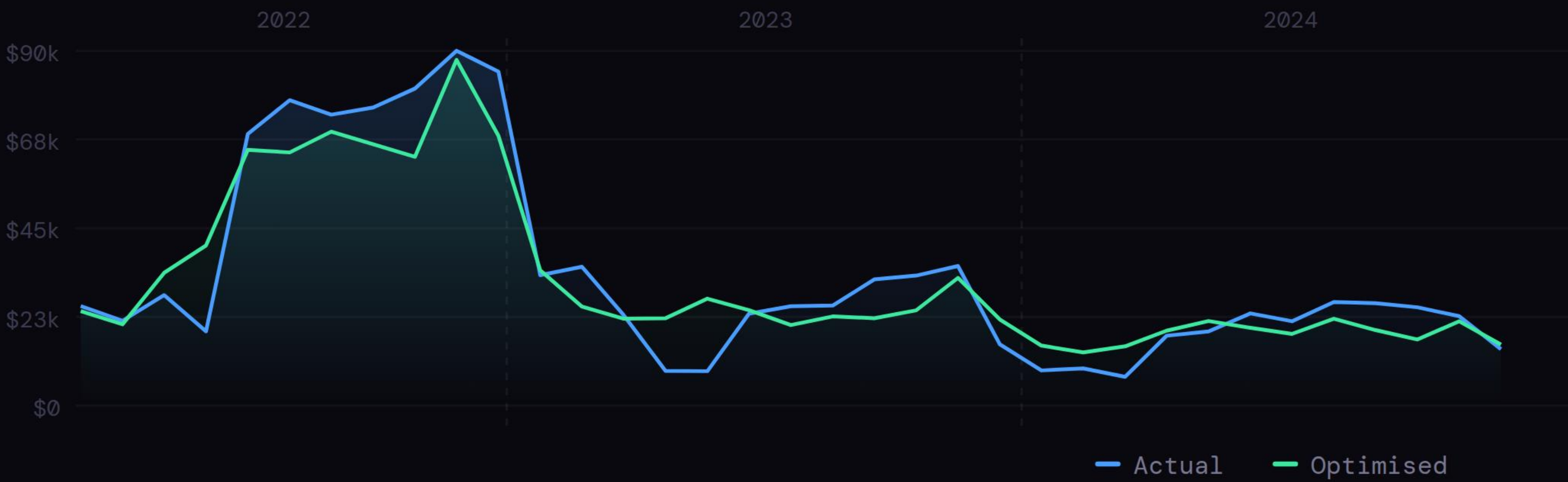
\$11,396,756

\$46,671 saved (3.9%)

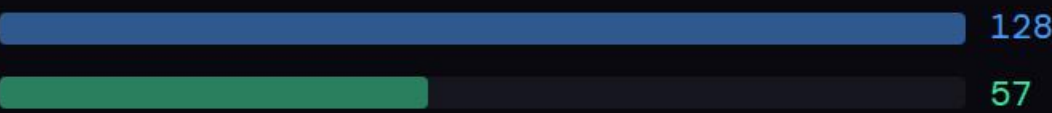
PENALTY EVALUATION



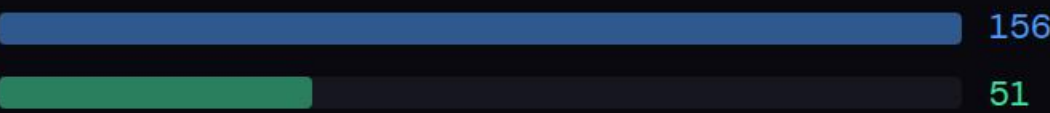
MONTHLY COST - ACTUAL VS OPTIMISED



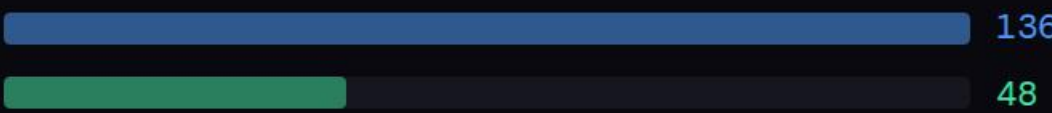
2022 - Violations



2023 - Violations



2024 - Violations



METHODOLOGY

PIPELINE

01 2-Day-Ahead Blended Forecasting

Blended quantile model (70% GBM + 30% QuantileRegressor) for P10/P50/P95. Features: lags T-3 to T-30, rolling stats, holiday flags, storage %, days-to-EOM. Minimum lag = 2 enforces no leakage.

GBM+QR

02 Quantile Uncertainty Bands

Three quantile levels (P10, P50, P95) trained simultaneously. P95 forecast used as conservative usage estimate for LP. Monthly expanding-window retrain across 36 model snapshots (Jan 2022 - Dec 2024).

P10/P95

03 Adaptive Contract Limit Buffering

Month-specific injection buffers (78-85%) and withdrawal buffers (80-88%) shrink effective LP limits. Tighter in summer (inj) and April (wd) where violations historically concentrate.

Adaptive

04 Cost-Weighted Deterministic LP

Minimises $\sum c[t] \cdot delivery[t]$ where $c[t] = 1 - \alpha \cdot (inj_norm + wd_norm)$, $\alpha=0.10$. Hard flow/storage bounds, soft multi-EOM and mid-month steering constraints. HiGHS solver, 3-level fallback.

HiGHS

05 Rolling MPC Loop (60-day horizon)

60-day lookahead, act on delivery[0] only. Overshoot guard floors delivery when storage exceeds EOM_max. Hard post-LP clip to raw contract limits. Re-plan every day with updated actuals.

MPC

ROLLING LP STRUCTURE (V4)

Forecast Input

usage_p95[t] horizon=60d

LP Solver (HiGHS)

$\min \sum c[t] \cdot delivery[t]$
 $c[t] = 1 - \alpha \cdot (inj_norm + wd_norm)$

var: $delivery[t] \geq 0$, $t=1..H$
solver: HiGHS | $\alpha = 0.10$

Act on delivery[0] only

re-plan daily · MPC loop

HARD CONSTRAINTS

$delivery[t] \leq inj_lim[t] \cdot \beta_inj + usage[t]$
 $\beta_inj \in [0.78, 0.85]$ by month

$delivery[t] \geq usage[t] - wd_lim[t] \cdot \beta_wd$
 $\beta_wd \in [0.80, 0.88]$ by month

$0 \leq storage[t] \leq Max\ Storage$
 $storage[t] = s_0 + \sum delivery - \sum usage$

SOFT CONSTRAINTS

$EOM_min \leq storage[eom] \leq EOM_max$
one per month in horizon · buf=6-10%

$storage[day15] \approx (EOM_min + EOM_max) / 2$
slack = $\pm 6\%$ capacity mid-month steer

POST-LP ADJUSTMENTS

Overshoot Guard

floor delivery if
storage > EOM_max

Hard Clip

clip to raw contract
inj / wd limits

HORIZON

60d

LAG

2-day

QUANTILE

P95

LP MARGIN A

0.10

CASH-OUT TIERS

TIER	VARIANCE	PENALTY
T1	0-10%	0%
T2	10-20%	15%
T3	>20%	40%

TIER DISTRIBUTION - ACTUAL



TIER DISTRIBUTION - OPTIMISED



TIER 3 DAYS



FORECAST ACCURACY

89.0%

[P10, P95] interval coverage

P50 FORECAST MAE - 2-DAY AHEAD

229.6 units

vs mean daily usage of 1,736.7 — 13.2% relative error

P10-P95 INTERVAL WIDTH

±515 units

P95 over-forecasts by +538 on average — conservative by design

MODEL DETAILS

Target	Total Usage (direct)
Min lag	T-3 (lag_1 + 2-day shift)
Eff. lags	T-3,4,5,9,16,23,30
Features	23 total incl. holiday flags
Retrain	36 snapshots, monthly expanding